AI-generated · Unofficial practice paper

Economics Mock

Paper 2 (Section A Short Questions · Section B Structured and Data-response Questions · Section C Electives)

10.15 am – 12.45 pm (2½ hours)

Section	A	B	C	Total
Marks	44	60	16	120

FOR REVISION

For revision and self-assessment only. Not an official examination paper.

INSTRUCTIONS

1. This paper consists of THREE sections, A, B and C.
2. Answer ALL questions in Sections A and B.
3. Attempt any ONE question in Section C.
4. For questions requiring diagrams, answers may be drawn on the pre-printed axes.
5. The diagrams in this paper are not necessarily drawn to scale.

Independent, unofficial mock paper. Not affiliated with any official examination authority.

SECTION A (44 marks)

Answer ALL questions in this section.

1. A legislator says, "The government should build more cycling tracks because cycling tracks can reduce traffic accidents."

Explain whether the legislator's statement is a positive statement or a normative statement. (3 marks)

2. Ah Lok runs a bicycle repair shop as a sole proprietorship. He plans to invite his friend Ah Hang to join him and run the shop as a partnership.

(a) Explain ONE advantage to Ah Lok of running the shop as a partnership. (2 marks)

(b) Ah Lok says, "After forming the partnership, if the shop makes losses, the debts I have to bear must be only half." Do you agree? Explain. (2 marks)

(c) After forming the partnership, Ah Lok specialises in repairs while Ah Hang specialises in selling bicycle parts. State TWO benefits of this division of labour. (2 marks)

3. The following are the labour statistics of an economy in a quarter:

- Labour force: 3 840 000
- Employed persons: 3 700 000 (of whom 52 000 are underemployed)

(a) State the number of unemployed persons in the quarter. (1 mark)

(b) State TWO reasons why the unemployment rate may understate the slack in the labour market. (2 marks)

(c) The labour force may decrease even when the population aged 15 or above increases. State TWO possible reasons. (2 marks)

4. The table below shows some data of an economy in two years:

	Year 1	**Year 2**
Nominal GDP ($ billion)	3 000	3 150
Implicit price deflator of GDP	100	103

(a) Calculate the growth rate of real GDP in Year 2. (1 mark)

(b) Explain why real GDP is more suitable than nominal GDP for comparing the output of two years. (2 marks)

(c) Someone says, "A rise in real GDP means that the economic welfare of the people must have improved." Do you agree? Explain with TWO reasons. (4 marks)

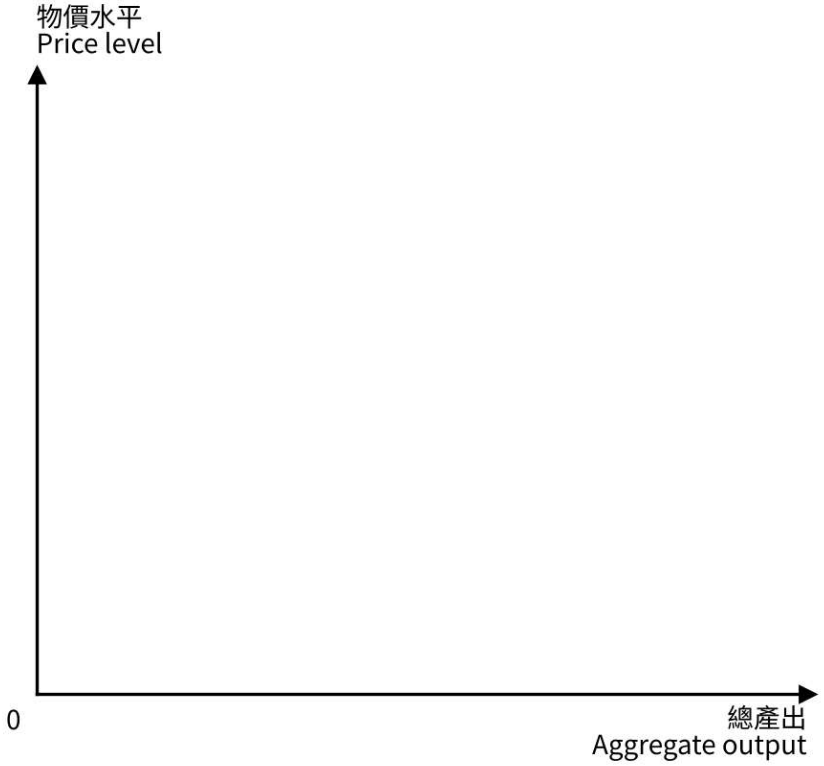
5. Hong Kong has adopted the linked exchange rate system since 1983.

(a) Explain how note-issuing banks issue Hong Kong dollar notes under the currency board system. (2 marks)

(b) A commentator says, "Under the linked exchange rate system, the HKMA can lower Hong Kong dollar interest rates to well below US dollar interest rates on its own to stimulate the local economy." Do you agree? Explain. (4 marks)

6. The economy of Country K is initially at its long-run equilibrium. The economies of its major export markets grow strongly, while world prices of raw materials fall sharply (manufacturing in Country K relies on imported raw materials).

With the aid of an AS-AD diagram, explain the short-run effects of the above events on the price level and real output of Country K. (5 marks)



7. The table below shows the quantity of cocoa beans or solar panels that Country A and Country B can each produce with one unit of resources (either one only):

	Cocoa beans (units)	**Solar panels (units)**
Country A	9	3
Country B	4	4

(a) Explain which country has a comparative advantage in producing solar panels. (3 marks)

(b) Suppose the two countries trade according to comparative advantage at the terms of trade of 1 solar panel for 2 units of cocoa beans. Country A exports 60 units of cocoa beans to Country B. Calculate Country A's gains from trade in terms of solar panels. (Assume no transport cost.) (3 marks)

8. The balance sheet of a banking system is as follows ($ million):

Assets		**Liabilities**	
Reserves	660	Deposits	3 000
Loans	2 340		

The required reserve ratio is 20%. The public holds $450 million in cash. Assume there is no cash leakage.

(a) Calculate the excess reserves of the banking system and the monetary base. (2 marks)

(b)(i) Calculate the maximum banking multiplier. (1 mark)

(ii) Banks first lend out all their excess reserves. The central bank then raises the required reserve ratio to 22%. Calculate the change in money supply (cash held by the public + deposits) after the whole process, compared with the original level. (3 marks)

END OF SECTION A

SECTION B (60 marks)

Answer ALL questions in this section.

9. Study the following sources and answer the questions.

Source A

The government of a city plans to build a "Smart Logistics Hub" on reclaimed land, handling cargo with automated equipment. The table shows the budgeted spending in each fiscal year ($ billion).

財政年度 Fiscal year	預算開支（十億元） Budgeted spending ($ billion)
2027-28	6.5
2028-29	9.8
2029-30	12.4
2030-31	7.9
2031-32	3.4
合計 Total	40.0

資料來源：某城市運輸及物流局（虛構） Source: Transport and Logistics Bureau of a city (fictitious)

Source B

The hub is expected to open in 2032. The city's cargo-handling capacity will then rise by 35% and the average handling time will be cut from 18 hours to 7 hours. The government will grant a 30-year exclusive operating right to one operator by franchise. About 12 000 workers are needed during construction, some of whom are construction workers imported from overseas on ten-month contracts and must return home when the contracts end. Many logistics, warehousing and customs-clearance firms are expected to cluster near the hub.

(a)(i) Refer to Source B. Identify the source of monopoly power of the hub operator. (1 mark)

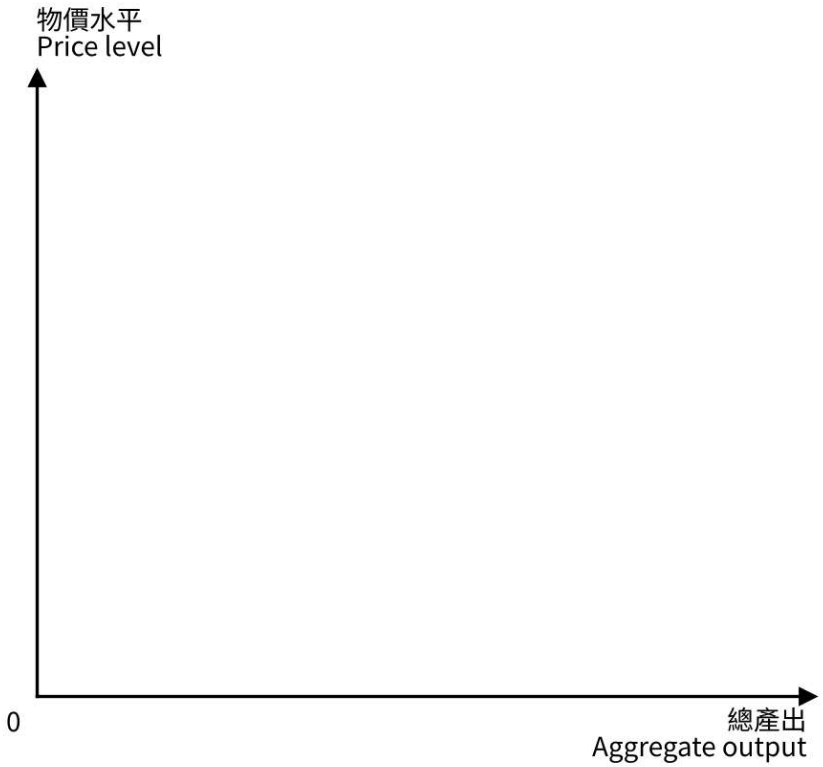
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(ii) State TWO other sources of monopoly power. (2 marks)

(b) Refer to Sources A and B. Assume the economy is initially at its long-run equilibrium. After the hub is completed, (1) project spending falls sharply from its peak in 2029-30, and (2) cargo-handling efficiency improves. With the aid of an AS-AD diagram, analyse the effects of these two changes occurring together on the price level and real output of the city. (8 marks)



(c) Refer to Source B. State TWO external economies of scale that logistics firms near the hub may enjoy. (2 marks)

(d) Refer to Source B. Explain whether the wages of the construction workers imported on ten-month contracts are included in the city's (i) GDP and (ii) GNI. (4 marks)

10. Study the following sources and answer the questions.

Source A

Trade in goods and services of Country V (USD billion).

V 國（十億美元） Country V (USD billion)	2024	2025
貨物出口 Exports of goods	182.4	176.9
貨物進口 Imports of goods	195.1	201.6
服務輸出 Exports of services	64.3	70.2
服務輸入 Imports of services	41.8	43.5

資料來源：V 國統計局（虛構） Source: Statistics Bureau of Country V (fictitious)

Source B

In 2025, Country V's currency (the V-dollar) depreciated by about 9% against the US dollar. Country V is a net exporter of rice, but its rice exports make up only a very small share of the world market. To support farmers, the government of V announces a per-unit subsidy on every unit of rice exported.

(a)(i) Refer to Source A. Compare Country V's balance of trade in goods and balance of trade in services in 2024 and 2025. (2 marks)

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(ii) Refer to Sources A and B. The V-dollar depreciated in 2025, yet Country V's deficit in goods trade widened. Explain ONE possible reason. (2 marks)

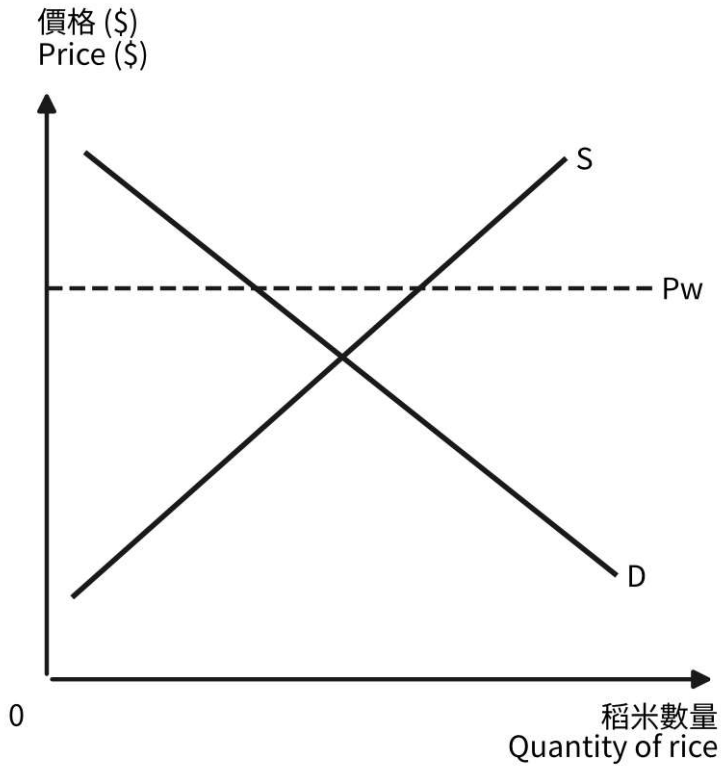
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(b) Figure 1 shows the domestic demand and supply of rice in Country V. Pw is the world price. (Assume Country V bans rice imports.)

(i) In Figure 1, indicate the domestic price, domestic consumption, domestic production and the quantity exported of rice in Country V after the export subsidy. (4 marks)



(ii) In Figure 1, indicate the government's total expenditure on the export subsidy. (1 mark)

(c) Analyse the effects of the export subsidy on the consumer surplus of rice consumers, the producer surplus of rice producers and the total social surplus in Country V. (A diagram is not required.) (3 marks)

(d) State TWO types of trade barriers other than export subsidies. (2 marks)

11. Study the following sources and answer the questions. For part (e), candidates are required to present their answers in an essay form. Criteria for marking will include application of the sources and economic theories, relevance of the material, logical presentation and clarity of expression.

Source A

Food waste disposed by restaurants and population of City H.

年份 Year	餐廳棄置廚餘（公噸／日） Food waste disposed by restaurants (tonnes per day)	人口（百萬） Population (million)
2021	820	5.86
2022	838	5.81
2023	861	5.92
2024	884	5.97
2025	905	5.95

資料來源：H 市環境局（虛構） Source: Environment Bureau of City H (fictitious)

Source B

Food waste generated by restaurants in City H is currently collected free of charge by the government and sent to landfills. The government is considering two proposals:

Proposal I: charge restaurants $2 per kg of food waste collected.

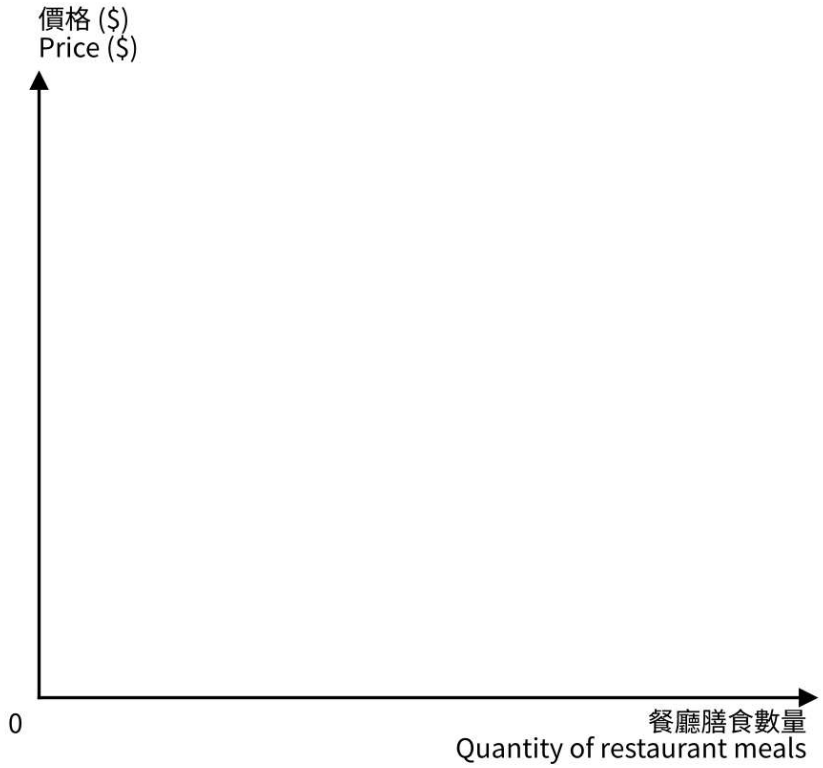
Proposal II: subsidise restaurants to install on-site food waste decomposers. The government pays 80% of the installation cost, with expected spending of $1.2 billion over three years, paid from general revenue.

Source C

(Newspaper extract) Small restaurants worry that the food waste charge will raise their costs and they may have to raise prices. Green groups warn that some restaurants may mix food waste into general refuse or dump it illegally to avoid the charge. A survey also finds that low-income households eat at budget restaurants more often each week than high-income households.

(a) Refer to Source A. Calculate and compare the per capita daily food waste disposed by restaurants in City H in 2021 and 2025. (2 marks)

(b) Refer to Source B. Suppose each restaurant meal generates 0.25 kg of food waste on average, and the marginal social cost of each meal exceeds its marginal private cost by a constant $0.8. With the aid of a diagram, explain whether Proposal I can bring the output of the restaurant meals market to the efficient level. (4 marks)



(c) Refer to Proposal I in Source B.

(i) Apart from reducing the output of meals, explain how Proposal I could further reduce the amount of food waste in City H, and state its effect on the social cost of each meal. (3 marks)

(ii) Some argue that the burden of the food waste charge will be borne entirely by restaurants. Do you agree? Explain. (2 marks)

(d) Refer to Source C. Explain how illegal dumping of food waste would affect the effectiveness of Proposal I. (2 marks)

(e) With reference to the above sources and your own knowledge in Economics, evaluate the effects of Proposal I and Proposal II on the following three aspects, comparing the two proposals in each aspect: (14 marks)

(1) economic efficiency in the restaurant meals market;

(2) the price of meals paid by consumers;

(3) the fiscal position of the government.

Answer in separate paragraphs.

(f) Refer to Source C. Explain why some people consider Proposal I unfair to low-income households. (2 marks)

END OF SECTION B

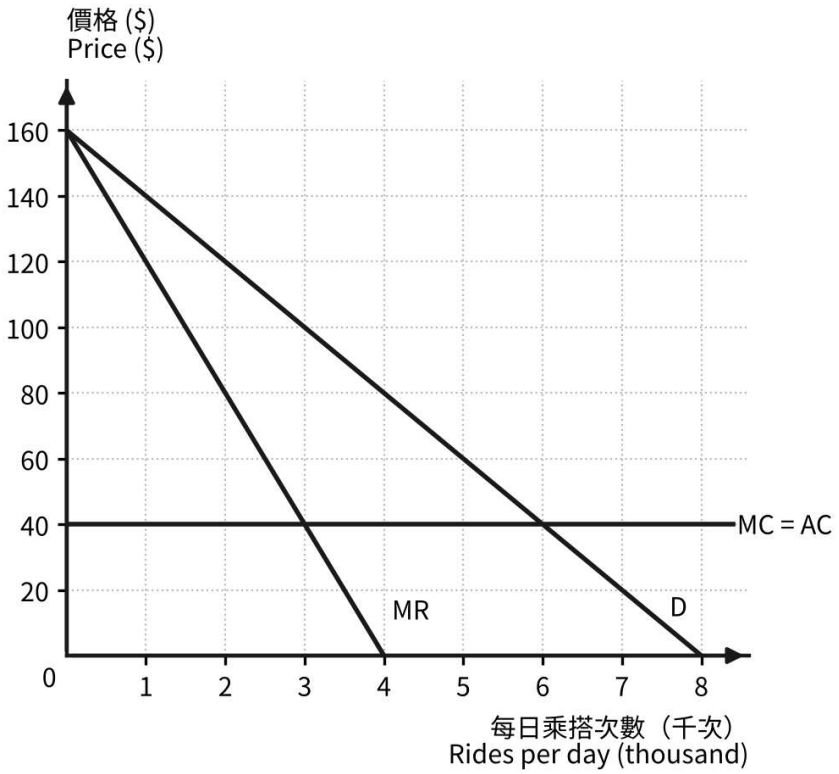
SECTION C (16 marks)

Attempt any ONE question in this section.

12. Elective Part 1 Monopoly pricing

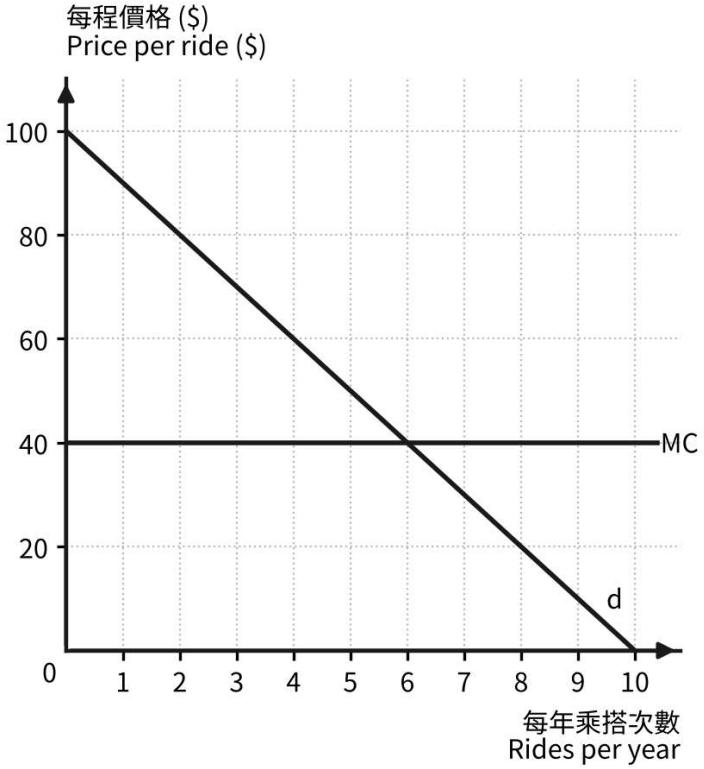
There is only one cable car route to a hilltop attraction, operated exclusively by Peak View Cable Car Company under a government franchise. Figure 2 shows the market demand (D), marginal revenue (MR) and marginal cost (MC) of cable car rides per day. Marginal cost equals average cost and is constant at $40 per ride.

(a) The government imposes a unit tax of $20 per ride on the company. In Figure 2, indicate the after-tax profit-maximising price (Pt), the number of rides (Qt) and the government's daily tax revenue. (4 marks)



(b) (Assume there is no tax.) The company launches an "annual pass" scheme for regular local visitors: members pay an annual fee and then pay $P per ride. Figure 3 shows the annual demand (d) for rides of a typical member. Assume all members have identical demand.

(i) If the company maximises profit, indicate in Figure 3 the price per ride and the number of rides per year of the member. (2 marks)



(ii) In Figure 3, indicate the maximum annual fee the company can charge, calculate its amount, and explain whether this arrangement is efficient. (3 marks)

(c) The company charges non-local tourists $150 per ride and local residents $90 per ride. Assume the marginal cost of serving the two groups is the same.

(i) Based on the above prices, explain which group of customers has a more elastic demand. (2 marks)

(ii) Someone says, "Compared with charging all passengers a uniform price, the above pricing arrangement must reduce the consumer surplus of all passengers." Do you agree? Explain. (2 marks)

(d) The cable car company and the operator of the only bus route between the foot and the top of the hill agree to raise their fares together. State THREE types of conduct prohibited under the First Conduct Rule of the Competition Ordinance. (3 marks)

13. Elective Part 2 Extension of trade theory, economic growth and development

Country R is a developing country. Figure 4 shows Country R's production possibilities frontier (PPF0) for consumer goods and capital goods. The curve is bowed outwards.

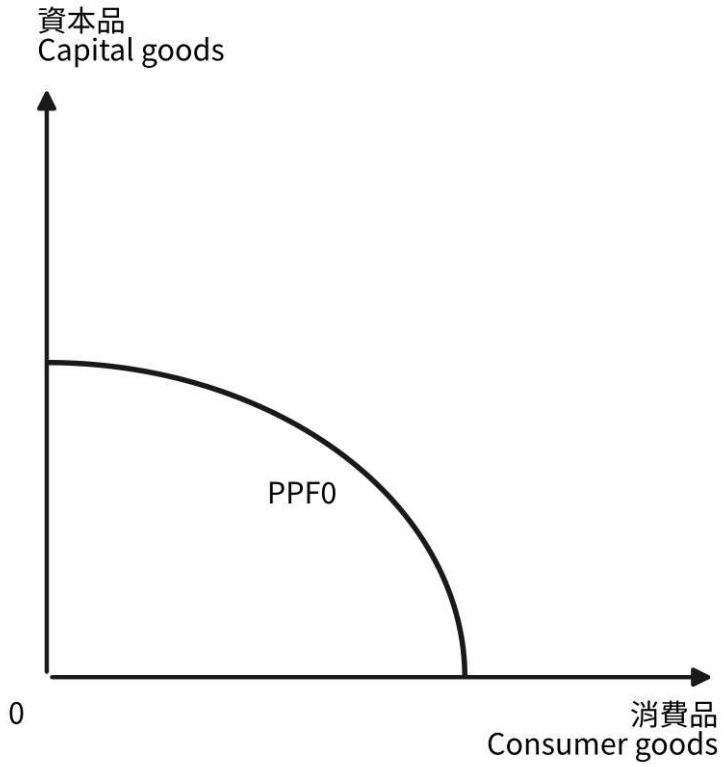
(a) Explain why Country R's production possibilities frontier is bowed outwards. (2 marks)

(b) The table below shows some data of Country R: (5 marks)

	2020	2025
Nominal GDP (billion R-dollars)	840	1 155
Implicit price deflator of GDP	100	125
Population (million)	42	44

Calculate the percentage change in per capita real GDP of Country R from 2020 to 2025. Show your working.

(c) Foreign direct investment greatly increases Country R's capital stock. In Figure 4, show its effect on Country R's production possibilities frontier. (2 marks)



(d) Explain how foreign direct investment can promote economic growth in Country R. (3 marks)

(e) Explain why a rise in per capita real GDP does not necessarily mean economic development in Country R. (2 marks)

(f) The government of Country R plans to shift more resources from producing consumer goods to producing capital goods. Explain the trade-off involved in this decision. (2 marks)

END OF PAPER